Customer Retention & Value — Executive Summary

H&M transactions, Sep 2018 – Sep 2020 · 1.36M customers · spend in scaled units

The headline

Most customer value is concentrated in a small loyal base, and the biggest leak is the **second purchase**: **38% of new customers never buy again within a year**. Retention budget should go to winning that second purchase and to customers whose *value* — not just risk — justifies an offer.

Four recommendations

1. Win the second purchase within ~50 days. Only 62% of new customers return within 12 months, but those who come back twice go on to a third purchase at 69%. The median second purchase happens **52 days** after the first. → *Trigger a reactivation message to first-time buyers at days 30–45; measure with a holdout group.*

2. Get PRE-CREATE customers to finish club sign-up. Customers who never completed loyalty-club registration repeat at **37% vs 64%** for active members (the largest effect measured, Cohen's h = 0.55). They are ~9% of new customers. → *Test a sign-up completion prompt against a holdout. Caveat: club status is recorded at the end of the period, so part of this gap is loyal customers joining — the test measures the causal part.*

3. Target retention offers by expected value, not by churn risk. On a held-out period, an expected-value rule (risk × save rate × customer value – offer cost) stayed profitable in simulation, while targeting the same number of highest-risk customers lost value. → *Validate the save rate with a pre-registered A/B test: ~9,300 customers per arm detects a 2-point retention lift with 80% power; one targeting cycle is enough.*

4. Protect Champions and Loyal customers. 39% of customers generate **77% of revenue** (Champions alone: 22% → 58%). A separate group of 37k "At risk" customers used to buy often but have lapsed — the natural win-back list.

Three things that are *not* true (despite how the data first looks)

- **"Omnichannel customers are more valuable."** They spend 3.3× more overall, but only because they buy more often. Within the same purchase frequency, online-only customers spend more.
- **"Lockdown-acquired customers are less loyal."** A month-3 snapshot suggested so; a proper 90-day repeat test shows no difference (32.6% vs 32.2%, p = 0.37).
- **"What customers buy first predicts loyalty."** Statistically significant but negligible (Cramér's V = 0.02).

Caveats

Spend is in the dataset's scaled units. Club and newsletter effects are associations, not proven causes. Money estimates for retention offers are simulations under stated assumptions until the A/B test runs.